

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System	))))	Docket No. RM26-4-000
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**PRELIMINARY RULEMAKING COMMENTS OF
THE SOUTHERN COMPANIES**

Pursuant to the Federal Energy Regulatory Commission’s (“Commission” or “FERC”) October 27, 2025 Notice Inviting Comments in the captioned proceeding, Georgia Power Company (“Georgia Power”), Alabama Power Company (“Alabama Power”), and Mississippi Power Company (“Mississippi Power”) (together, “Southern Companies”) submit the enclosed comments on the October 23, 2025 Advance Notice of Proposed Rulemaking issued by the Secretary of Energy (“Secretary”) on the subject of large load interconnection to the interstate transmission grid (“ANOPR”). Because the ANOPR is a preliminary proposal, Southern Companies offer the following initial comments, reserving the right to further comment on any specific proposals the Commission may promulgate in response to the Secretary’s ANOPR.

I. EXECUTIVE SUMMARY

Southern Companies appreciate the Commission’s swift action in response to the Secretary’s ANOPR to help bolster American energy dominance and economic security. Southern Companies appreciate the Secretary’s leadership and wholeheartedly endorse the ANOPR’s stated objective of ensuring “timely and orderly interconnection of large loads to the transmission system.”¹ Keeping pace with fast-scaling demand for electricity is critical for national security

¹ *Secretary of Energy’s Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary’s Authority Under Section 403 of the Department of Energy Organization Act*, Dep’t of Energy, at 1 (Oct. 23, 2025), <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>.

and American economic competitiveness. Doing so in a manner that ensures the reliability of the grid and appropriately allocates costs across customer classes is also crucially important to ensure the fast-moving nature of this demand growth does not create an undue risk that existing retail customers would subsidize a large load that seeks interconnection. Southern Companies look forward to participating in this proceeding so that we can continue to develop a Southeastern region that remains open for business and economic development, including from large data centers and hyper-scalers, while keeping all customers at the center of everything we do.

In the Southeast, the vertically-integrated nature of Southern Companies' operations, paired with pre-existing integrated planning procedures, enables Southern Companies to adapt quickly and provide the type of coordinated interconnection operations envisioned in the ANOPR. Such integrated planning studies provide for the holistic analysis of both the additional power supply and related fuel needed to serve data centers *and* the transmission upgrades required to facilitate their interconnection. For the last several years, data centers, large manufacturing, and other large loads have sought interconnection and retail load service across the Southern Companies' footprint. As data center growth started to increase, Southern Companies undertook to expedite planning studies and regulatory processes, work with large load customers to tailor solutions for them, and modify load forecasting, to ensure that we were right-sizing system expansion and minimizing risks to existing customers. Under the oversight of our state regulators, Southern Companies have worked with large load customers, as well as local communities and governments, to develop solutions that prioritize speed, affordability, and reliability, with considerable success.

As a result of this framework and recent adaptations, load interconnection requests have been processed efficiently across the Southern Companies' footprint. From 2022 to 2025, across

Alabama, Georgia, and Mississippi, Southern Companies have experienced a 6% growth in commercial load and a 74% growth in data center load. Furthermore, Southern Companies have contracts in place with large load customers representing 7 GW through 2029, ramping to 8 GW in the 2030s. This is a 2 GW increase over last quarter alone. Moreover, Southern Companies have added over 4 GW of generation capability since 2022, including two nuclear power units (Vogtle Units 3 and 4) providing 2.2 GW of baseload power, the first nuclear plants constructed in the United States in almost three decades. Additionally, Southern Companies have requested commission certification of over 10 GW of resources over the next several years, further bolstering our generation capabilities. In short, Southern Companies provide the planning and structure that not only accelerates the interconnection of large load, but also ensures there are power plants necessary to power them.

Because speed to market is key, Southern Companies respectfully urge the Commission to avoid implementing the ANOPR in a manner that would impede these successful existing processes. In addition to potentially slowing down current processes in the Southeast, an overly broad set of national rules could raise significant jurisdictional issues and cast doubt on the legal durability of any such final rule. Nonetheless, if queue backlogs and procedural impediments exist in other parts of the country, the Commission may need to implement reforms of the type proposed in the ANOPR in those regions. However, the Commission can address reforms where needed without undercutting efforts where large load interconnection is already on target for achieving the Administration's energy agenda.

II. SOUTHERN COMPANIES SHARE THE TRUMP ADMINISTRATION'S PRIORITIZATION OF ENERGY EXPANSION AS A CRITICAL ELEMENT OF ACHIEVING AI DOMINANCE

As articulated in *America's AI Action Plan*, the Trump Administration sees strengthening the nation's energy generation and transmission systems as key to winning the Artificial

Intelligence (“AI”) race, which itself is critical to economic growth and national security.² The President’s AI plan further states that the “power grid is the lifeblood of the modern economy and a cornerstone of national security...,” and the path to U.S. dominance of AI depends on efforts to “enhance and expand the power grid” to “ensure the grid’s continued strength and capacity for future growth.”³

Southern Companies fully concur, and we are hard at work making the investments necessary to meet this challenge. Through 2029, Southern Companies are planning to invest over \$70 billion in the energy grid across our service territories. We are heeding the President’s call, as articulated in *America’s AI Action Plan*, to “harness existing capacity,” enhance the “performance of the transmission system,” “embrace new energy generation sources” such as nuclear, and “[p]rioritize the interconnection of reliable, dispatchable power sources...”⁴ Standing with the Administration on this crucial objective, we agree that “the United States can rise to the challenge of winning the AI race while also delivering a reliable and affordable power grid for all Americans.”⁵

Today, across the Southern Companies’ system, we operate approximately 45,000 megawatts (“MW”) of generating capacity and serve over 4.5 million retail electric customers. We have responsibility for more than 27,000 miles of transmission lines and 3,700 power substations. Southern Companies are experiencing unprecedented growth particularly from AI-driven data center demand and large load manufacturing customers. As we meet this demand, we are leading in innovative energy solutions to support the U.S. in winning the global AI race. We

² THE WHITE HOUSE, *Winning the Race: America’s AI Action Plan* (July 2025) <https://www.whitehouse.gov/wp-content/uploads/2025/07/Americas-AI-Action-Plan.pdf>.

³ *Id.* at 15.

⁴ *Id.* at 15-16.

⁵ *Id.* at 16.

are seeing additional growth opportunities in AI and data center development throughout the Southeast. The Atlanta market alone has almost 2 GW of data centers under construction as of September 2025.⁶

Across our service territories, Southern Companies are adding new generation while also planning to invest billions of dollars in transmission infrastructure to ensure that we can meet the rising demand for energy in our region, including new power demands tied to AI growth. In this endeavor, our customers benefit from our “all of the above” approach that includes natural gas, coal, renewables, storage, as well as large-scale nuclear generation, which continues to play a crucial role in the Southern Companies’ strategy for providing reliable, 24/7 electricity. We have also actively pursued grid-enhancing technologies to optimize the existing grid. The recently completed Vogtle Units 3 and 4 in Georgia, in particular, represent a landmark investment in new nuclear generation and make Plant Vogtle the largest generator of clean energy in the United States. As the President has recognized, nuclear energy offers a vital asset for a diverse energy portfolio, offering high capacity factors and operational efficiency. These significant, long-term investments in nuclear power—facilitated by vertical integration—are undertaken with extensive oversight from both state public service commissions, which review cost recovery and project management, and the U.S. Nuclear Regulatory Commission, which ensures safety and operational compliance.

As discussed more fully in these comments, Southern Companies are accomplishing the Administration’s objectives for timely, cost-effective, and reliable interconnection of new large loads – including new loads that are critical to our region’s rapidly growing AI and data center

⁶ CBRE, Atlanta – North America Data Center Trends H1 2025, <https://www.cbre.com/insights/local-response/north-america-data-center-trends-h1-2025-market-profiles-atlanta> (last visited Nov. 18, 2025).

projects. A national rule designed to address inadequacies in the planning process in certain parts of the country without accounting for states that are successfully achieving the Administration's AI objectives could inadvertently slow down the fast, cost-effective and integrated planning process in the Southeast.

III. CASE STUDY – THE SOUTHERN COMPANIES' EXPERIENCE

Southern Companies' views in this proceeding are informed by the considerable success we have already had in interconnecting large loads. Southern Companies have been able to do so by employing constructs that preserve affordability for existing customers – a priority Southern Companies and our regulators work hard to maintain. This success is enabled by a market structure in which we holistically plan for, build, and deliver energy to our customers. In the Southeast, data centers, new manufacturing, and other large loads have presented new and valuable opportunities for economic growth, while at the same time demanding that utilities and regulators remain flexible and capable of adapting to changing conditions.

The Southeast has swiftly met this challenge because of an existing productive and healthy market structure built on a foundation of effective state regulation. And the success is evident: as noted above, Southern Companies have contracts in place with large load customers representing 7 GW through 2029, ramping to 8 GW in the 2030s. This is a 2 GW increase over last quarter. A primary driver of this success is the type of planning that takes place in the Southern Companies' balancing authority areas as well as for many other vertically-integrated regions outside of those operated by Regional Transmission Organizations or Independent Service Operators. In these regions, state-regulated utilities, including Southern Companies, commonly undertake systematic Integrated Resource Planning ("IRP") processes that help to inform infrastructure decisions for both companies and their state regulators. These IRP processes provide integrated, holistic,

scenario planning to determine cost-effective and reliable solutions for meeting incremental needs, including those driven by large loads, creating the “one stop shop” that is missing in other areas of the country. “Integrated” planning means we perform the generation, fuel, distribution, and transmission planning in a unified and holistic manner to achieve the timely, efficient, and cost-effective integration of large load into Southern Companies’ electric system. Our processes first identify customer and system needs and then perform iterative, multi-disciplined studies to identify least-cost, reliable options to satisfy those needs, taking into account supply-side, transmission, distribution and demand-side considerations. Generation plans and resulting procurements are developed under a rubric that considers reliability and affordability of serving customers in an integrated manner; not in silos of decision-making that can lead to misallocation of resources. The relevant state regulatory authority then reviews the results from the IRP process, approves the specific alternatives (or range of alternatives), and oversees the resulting supply procurements.

Integrated planning is not new, and we do not suggest that IRP alone is enough to meet the challenges presented by today’s large loads. But we have learned from experience that this structure provides a strong foundation for adapting to these changing demands. And we have done so successfully. Southern Companies and their state public service commissions have implemented numerous initiatives to facilitate the interconnection of and address the challenges presented by large loads. Georgia Power, just in the last two years, has taken action to address the unprecedented large retail load growth by working with the Georgia Public Service Commission (“GPSC”) and its staff, large retail customers, and other stakeholders to develop a framework to bring large load projects before the GPSC. There are several key features to Georgia Power’s programs.

Georgia Power's revised rules for large loads in excess of 100 MW provide for certain minimum bill requirements, longer term lengths, and contract termination provisions to ensure that existing retail customers do not bear the costs of serving new large load customers.⁷ Under these contracts, large load customers pay the full costs needed to serve them, including costs for new generation and required transmission upgrades. Georgia Power also submits each large load contract to GPSC staff for review 30 days prior to execution so GPSC staff can ensure that each contract adequately protects existing customers. If GPSC staff raises an issue, the contract is submitted to the full GPSC for review. Otherwise, the contract is deemed approved at the end of the 30-day period, and a fully executed version of the contract is filed with the GPSC. Since the adoption of these rules and procedures, Georgia Power has successfully obtained GPSC approval of three large load contracts, representing 1,900 MW of new load.⁸ Notably, each was approved promptly at the end of the 30-day review period without challenge. Overall, Georgia has been an attractive market for hyperscaler development, bringing significant investment to the state.⁹

And the successful integration of large loads in the Southeast is not limited to Georgia. Both Alabama Power and Mississippi Power have similar rules in place with their respective state public service commissions that have allowed for the successful integration of large loads in their service territories while protecting other retail customers from any cost or risk shifting. For instance, in February 2025, the Mississippi Public Service Commission approved a special contract

⁷ *Ord. Approving Revisions to Georgia Power Companys Rules & Reguls.*, No. 44280, 2025 WL 388303 (Jan. 28, 2025); *In Re: Georgia Power Companys 2022 Rate Case*, No. 44280, 2025 WL 1180825 (Apr. 17, 2025).

⁸ See Press Release, Georgia Power highlights first contracts under new rules & regulations, continued economic growth and updated forecasts in latest filings with Georgia PSC, <https://www.georgiapower.com/news-hub/press-releases/georgia-power-highlights-new-customer-contracts-continued-economic-growth-updated-forecasts-in-latest-filings-with-georgia-psc.html>

⁹ See, Reuters, Amazon's AWS to invest \$11bln in Georgia to boost AI infrastructure development, <https://www.reuters.com/technology/artificial-intelligence/amazon-says-aws-plans-invest-least-11-bln-georgia-ai-infrastructure-2025-01-07/> (last visited Nov. 21, 2025).

providing for Mississippi Power to serve a data center campus in Meridian, Mississippi.¹⁰ Mississippi Power anticipates that it will begin serving the facilities in 2026 and the load will gradually increase to approximately 500 MW. And in Alabama, in March 2025, the Alabama Public Service Commission approved, for the second time in a twelve-month period, a contract for Alabama Power to serve expansion of a data center, bringing the data center owner's total investment in Alabama's capital region to more than \$1.5 billion.¹¹

IV. KEY PRINCIPLES FROM THE SOUTHERN COMPANIES' EXPERIENCE

Southern Companies have learned a great deal from our recent experiences interconnecting large loads. We offer the following principles from that experience for the Commission's consideration.

Speed to Market. First, our experience has shown that a vertically-integrated model under the auspices of a healthy regulatory relationship with state regulators can produce quick and positive results. Georgia Power's recent experience is illustrative. Even with the current large load contract review mechanism, processes can be adopted that ensure quick regulatory review and action. The Commission should learn from such successful state efforts that have been able to quickly interconnect data center load.

Affordability. Second, a healthy cost allocation balance can be struck. A combination of minimum bill requirements, termination provisions, and longer contract terms can help to ensure that data centers and other large load customers pay the full cost of serving them and avoid any risk that existing retail customers, particularly working families, seniors and small businesses, will

¹⁰ See Press Release, Mississippi Pub. Serv. Comm'n, Mississippi Public Service Commission Approves Special Contract, <https://www.psc.ms.gov/sites/default/files/2025-02/PressReleaseFeb2025.pdf>.

¹¹ ALABAMA DEP'T OF COM., *Meta to expand Montgomery data hub, pushing total investment to \$1.5 billion*, <https://www.madeinalabama.com/2025/09/meta-to-expand-montgomery-data-hub-pushing-total-investment-to-1-5-billion/> (last visited Nov. 18, 2025).

be left to bear the costs. Notably, the implementation of these more stringent contract terms requiring large loads to pay their share of new costs has not hindered data center and large load development. In our experience, large load customers acknowledge the demands they place on existing infrastructure and are willing to pay their share of generation and transmission costs in exchange for timely service. This experience and approach to serve this growth opportunity is expected to support the continuation of our low total retail rates, which are currently more than 10% below the national average.

V. SPECIFIC COMMENTS ON THE ANOPR

In addition to the themes above, Southern Companies offer the following specific comments on the ANOPR. Southern Companies agree it is essential that data center loads can connect to the system quickly, affordably, and reliably, and as discussed above, Southern Companies have taken the initiative to make these goals a reality. The Administration and, by extension, the Secretary have made energy affordability and reliability key policy priorities that are shared by Southern Companies as well, and have driven their approaches to large load retail service. New large loads are important economic drivers, and the electric utility industry has a duty to help fuel that growth at the speed necessary to support energy dominance. Accordingly, it is important that the Secretary and the Commission carefully consider this matter and take such action to support these efforts – but doing so without disrupting the successes that are already being achieved and are poised to continue for years to come.

The ANOPR is intended to speed regulatory approvals for interconnections of data centers and other large loads, presumably focused on regions of the country where study delays have created an undue burden for large loads and inhibited the ability to serve AI and other economic

growth. Instead of a one-size-fits-all approach, Southern Companies urge the Commission to focus its reforms where they are most needed to ensure affordability, reliability, and speed to market.

A. The Commission Should Recognize and Affirm Regional Approaches that Are Working

It is clear from the ANOPR and the Secretary's statements that the intention of the proposal is not to interfere with state processes that are working. The Commission now has the challenge of achieving that objective. Southern Companies respectfully urge the Commission to focus on discrete reforms that may address existing logjams, without slowing or inhibiting the success the Southeast has achieved, and will continue to achieve, under current processes in the region. To that end, the Commission should craft rules applicable to specific regions or consider exempting regions that have demonstrated success in this area and do not need to adopt new rules.

The premise of the ANOPR is that there are structural delays to load interconnections in some areas of the country. But the prospect of prescriptive one-size-fits-all national rules could have unintended consequences in areas – like the Southeast – where existing regulatory frameworks have responded well to this challenge. In particular, the ANOPR seemingly endorses one-stop shopping for interconnection service, whether by load, generation, or hybrid. Southern Companies' vertically-integrated business model already satisfies the notion. Further, state public service commissions in the Southeast have shown their willingness to adopt new programs that will ensure future success in this area. And their existing IRP processes already yield efficient study solutions for growing demand.

In short, while additional challenges may lie ahead, the Southeast has made considerable progress to date meeting these challenges and has enabled the region to become a hotbed of data center development. At least in the Southeast region, there is no need for standardized federal regulatory solutions to address what is already working well. Therefore, if the Commission is

going to consider an overarching federal approach, Southern Companies urge the Commission to evaluate where that approach would actually slow down well-functioning state processes—and, if it would, then the approach should be modified to avoid that counterproductive result. Simply stated, as the Commission considers important reforms, the last thing it should do is curtail progress and success that is already being achieved.

B. The Commission Could Consider National Best Practices or Similar Policies

As an alternative to prescriptive federal requirements, the Commission could achieve the objectives of the ANOPR by using lessons learned from this proceeding to establish a list of national best practices for large load interconnections and adopt a policy statement or similar vehicle to encourage the use of these best practices. The Commission can exert considerable leadership in this area without mandating national standards that may be necessary only in some regions. This approach might also enable the Commission to avoid some of the jurisdictional issues raised in the ANOPR (see section C below). The Commission has successfully employed policy statements to guide voluntary adoption of planning or cost allocation practices without expanding jurisdiction.¹² A similar approach here would allow the Commission to promote consistency while preserving state authority.

In determining such best practices, the Commission should thoughtfully consider the ANOPR's proposals parallels to the existing FERC-jurisdictional generator interconnection process. While those processes and that history provide undeniable lessons that should guide this proceeding in many respects, it is now well-established that the generator interconnection process in many areas of the country has been plagued with sometimes paralyzing delays since Order No.

¹² See, e.g., *State Voluntary Agreements to Plan & Pay for Transmission Facilities*, 175 FERC ¶ 61,225 (2021).

2003 was adopted, causing this Commission to react with several rounds of subsequent “queue reform” efforts.

C. Any National Interconnection Rules Should Respect Jurisdictional Boundaries

Southern Companies greatly appreciate the Secretary’s recognition of important jurisdictional considerations in the context of retail load service. The Secretary correctly and clearly expressed a desire to avoid interfering with state jurisdiction over retail sales. The text, structure, and application of the Federal Power Act demonstrate that traditional state jurisdiction over retail utility service should not be overridden.¹³ FERC acknowledged that principle as recently as last month in the context of a large load interconnection case.¹⁴ That principle is particularly important in regions where the states have retained and exercised jurisdiction over transmission as part of bundled retail service.

Therefore, if the Commission seeks to apply broadly some of the measures under consideration, care should be taken to avoid jurisdictional issues. For example, while the concept of a “withdrawal right” for load is not yet fully fleshed out in this proceeding, the Commission should be careful not to regulate retail sales simply by adopting new terminology or purporting to grant retail customers “open and non-discriminatory access to capacity, energy, and ancillary services.”¹⁵ An end-use customer has no right to withdraw power from the grid without being subject to applicable state laws on retail energy use and applicable retail franchises, and Congress has unambiguously kept the Commission out of the business of retail regulation, respecting states’

¹³ See, e.g., 16 U.S.C. §§ 824k(g) (prohibiting orders that are “inconsistent” with state laws governing retail marketing areas), 824k(h) (prohibiting orders requiring retail wheeling).

¹⁴ *Tri-State Generation and Transmission Association, Inc.*, 193 FERC ¶ 61,070 (2025) (rejecting a proposed large load interconnection tariff because it contained provisions that affected terms and conditions for retail electric service).

¹⁵ ANOPR at 36.

police powers. In addition, the concept of giving end-use retail customers the “option to build” transmission facilities could also confuse well-established jurisdictional norms and subject any final rule to legal challenge. Further, the eighth reform principle, which suggests a new federal standard for how transmission costs should be allocated to large load retail customers, risks directly intruding on retail ratemaking in jurisdictions that have retained bundled retail service.

Existing federal and state regulatory tools should allow for the development of needed transmission facilities, and the Commission should focus on ensuring those tools are effectively used before expanding federal jurisdiction in untested ways. Moreover, expanding federal jurisdiction in this context carries significant litigation risk that would create a cloud of uncertainty over the interconnections of large loads given the risk that the proposed regulatory structure will not withstand judicial review. The next several years of large load AI development is essential for economic and national security. A new rule that greatly expands the Commission’s jurisdiction—without factual support to support that expansion, especially in regions already achieving stated objectives—may impede rather than advance progress.

To be clear, Southern Companies are not suggesting that there is no role for the Commission to play in the area of interconnection of large load customers. Rather, at this nascent stage of the proceeding, the extent to which the Commission can exert jurisdiction over the mere act of *interconnecting* a load to higher voltage without overreach into the arena of retail electric service is unclear. This is particularly true in those regions where (unlike the Southeast) retail transmission has been established as a separate service. In such regions, the scope of the Commission’s authority is broader and less subject to question. Whether new rules of that nature raise jurisdictional questions will of course depend on the specifics of the proposal. Southern Companies simply suggest that the Commission should proceed cautiously to avoid unnecessarily

creating jurisdictional disputes or disrupting large load interconnection processes that are functioning well.

VI. CONCLUSION

In brief, Southern Companies fully support the ANOPR's stated objectives of timely and orderly interconnection of large loads to the transmission system, while also respectfully urging the Commission to focus on legally durable solutions that would not disrupt the successful outcomes already being achieved in the Southeast.

Southern Companies thank the Secretary and the Commission for the opportunity to comment.

Respectfully submitted,

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